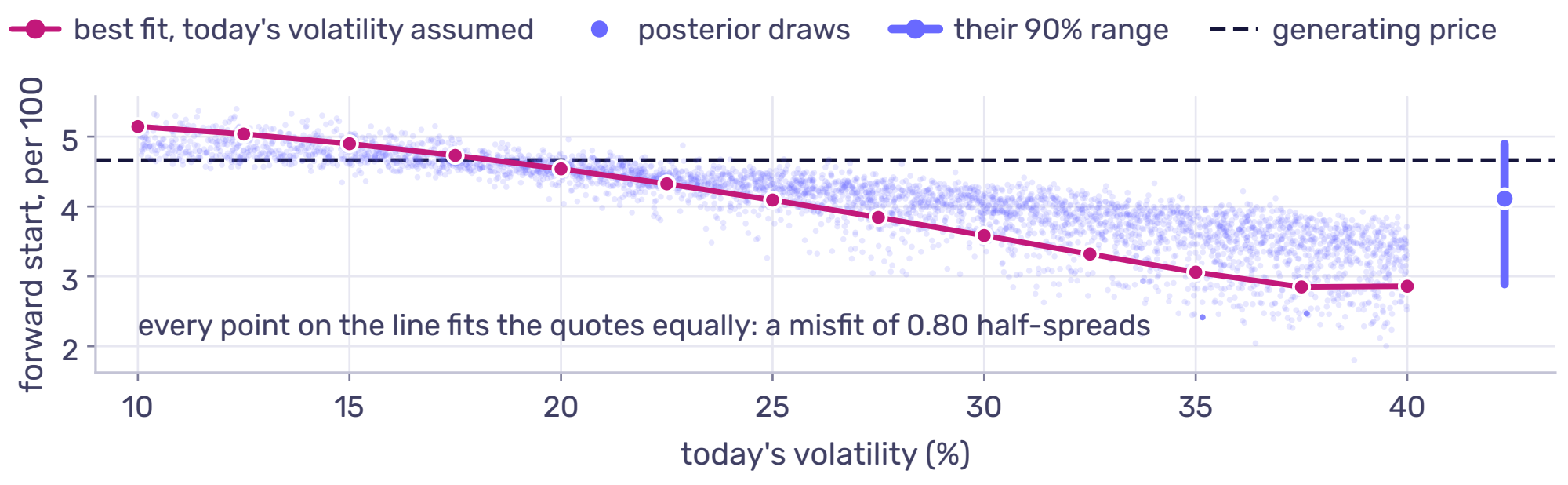

best fit, today's volatility assumed
posterior draws
their 90% range
generating price
forward start, per 100
5
4
3
2
every point on the line fits the quotes equally: a misfit of 0.80 half-spreads
10
15
20
25
30
35
40
today's volatility (%)